WARRANTY ATLAS · Wisconsin (WI)

Law last amended: 2018 (eff. 2018-04-05) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-11-02

Cites: Wis. Stat. § 218.0125; Wis. Stat. § 218.0116(1)(km) (license ground); Wis. Stat. § 218.0163 (civil damages)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Negotiated/other	§ 218.0125(3m)(b); rate formula (3m)(c)1.
Mfr-backed service contract	**Conditional**	Negotiated/other	§ 218.0125(3m)(a)
CPO warranty	**Conditional**	Negotiated/other	§ 218.0125(3m)(a)
Independent service contract	**Not addressed**	-	§ 218.0125(3m)(a)

Hourly rate: Effective nonwarranty labor rate = total customer labor charges on qualifying nonwarranty repairs ÷ the hours the manufacturer's warranty time allowances would have allowed for those repairs. Qualifying repairs are those that would be warranty-covered, excluding routine maintenance, taken from 100 sequential ROs or all ROs in 90 days, whichever is less, within 180 days. The manufacturer must start paying within 30 days or give a written dispute stating the rate it considers…

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Must be 'specifically disapproved in writing or by electronic transmission' within 30 days.	§ 218.0125(7)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: With evidence of fraud, longer audit/chargeback allowed subject to th…. Chargeback only of amounts paid on false or unsubstantiated claims.	§ 218.0125(7)
Rate resubmission	Silent. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old; OEM-hour denominator. Excluded: Routine maintenance, Warranty / recall.	§ 218.0125(3m)(c)1.; sample (4m)(a)
Mfr response	30 days; no response = approved: no rule in statute. Challenge: Pay the rate 'substantiated by the submission'. (The 'not reasonably competitive' defense in sub. (5) is for parts only.) Forum: Not specified in § 218.0125; court action under § 218.0163(1)(a) or l….	§ 218.0125(4m)(b)
Penalties	Licensee may sue for pecuniary loss plus actual costs incl. reasonable attorney fees for violations of § 218.0116(1)(km), without exhausting administrative remedies; treble damages if willful. License may be denied, suspended or revoked for a manufacturer, importer or distributor violating § 218.0125. DOT determinations or licensing ac…	Wis. Stat. §§ 218.0116(1)(km), 218.0163(1)(a), (1m)
Audit procedures	Audit climate score 7/100 (Low restrictiveness; chargeback limits 7/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 218.0125(7)): "If a claim is not specifically disapproved in writing or by electronic transmission within 30 days after the date on which the manufacturer, importer or distributor receives it, the claim shall be considered to be approved"*

Chargebacks *(§ 218.0125(7)): "A manufacturer, importer or distributor retains the right to audit claims for a period of one year after the date on which the claim is paid and to charge back any amounts paid on claims that are false or unsubstantiated."*

Rate *(§ 218.0125(3m)(c)1.; sample (4m)(a)): "by dividing the total customer labor charges for qualifying nonwarranty repairs in the repair orders by the total number of hours that would be allowed for the repairs"*

Factory time *(§ 218.0125(3m)(b); rate formula (3m)(c)1.): "for labor is equal to the dealer's effective nonwarranty labor rate multiplied by the number of hours allowed for the repair under the manufacturer's, importer's, or distributor's time allowances used in compensating the dealer for warranty work."*

Notes

The rate uses an OEM-hour denominator, so it absorbs the gap between retail and warranty time. No statutory frequency limit on resubmissions. Covers work 'required, requested, or approved' by the manufacturer or that it agreed to pay, not only warranty ((3m)(a)). Motorcycles use a separate regime ((2m), (3), (4)): labor at the 'effective labor rate charged all customers'. Promotional/incentive claims (§ 218.0126) have a 2-year audit window.

Source: official · https://docs.legis.wisconsin.gov/statutes/statutes/218/i/0125 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.